Finance Companies and Bill-Paying Services

If you don’t think you’re cut out for the credit crunch method, there are several options for consolidating your debt. Finance companies make your paperwork easier because they pay off all your debt so you make only one payment each month. The problem is that finance companies charge very high interest rates, so you end up paying a steep price for the convenience of writing fewer checks. Some experts believe that unless your debt problems were caused by job loss, disability, or other major life experience, a debt consolidation loan is just postponing the inevitable: bankruptcy.

Stay away from consolidation loans unless the interest rate will be significantly lower than what you’re currently paying and you’re committed to continuing to pay at least as much as you were before consolidating.

If you use a bill-paying service, all your bills are sent directly to the bill-paying company, which makes payments for you and sends you a monthly transaction report. They also charge you a fee, typically around 10 percent of the total you owe. Bill-paying services don’t actually lend you money, so you still have to cough up the cash yourself. At most, they offer the incentive for exercising a little discipline and the ease of writing one check instead of several each month. If you owe $5,000 and the bill-paying service charges 10 percent, that’s $500 you’ll be paying for the convenience of having them disburse the money you send them each month.